

IN THE COURT OF COMMON PLEAS
KNOX COUNTY, OHIO

State of Ohio ex rel. Dave Yost,	:	
Ohio Attorney General,	:	
	:	
Plaintiff,	:	Case No. 20IN06-149
	:	
vs.	:	Visiting Judge James L. Kimbler
	:	
The Landings Property Owners Association,	:	
Inc., <i>et al.</i> ,	:	
	:	
Defendants.	:	

DEFENDANT MULLINS BROS. LTD.'S REPLY MEMORANDUM
IN SUPPORT OF SUMMARY JUDGMENT

I. INTRODUCTION

No one disputes that Mullins Bros. transferred the property at issue to a property owners' association in 2007—two years before any issues arose concerning the classification, safety, and maintenance of the Dam. (Long Memo at 23; AG Memo at 8) Soon after the transfer, individual property owners took over the property owners' association—as they were required to do under the applicable restrictive covenants. The property owners operated the property owners' association for years without Mullins Bros.' involvement. These facts alone show that Mullins Bros. did not own the Dam during any relevant period and that Mullins Bros. is not responsible for the Dam's maintenance.

In opposing Mullins Bros.' motion for summary judgment, the Long Defendants argue that they lacked notice of the restrictive covenants encumbering their properties, and they focus on an error in the naming of their property owners' association. Their lack-of-notice arguments fail because the restrictive covenants were recorded in the chain of title. As a matter of law, purchasers had constructive knowledge of the restrictive covenants; whether the Long Defendants had actual knowledge of them is inconsequential. As to the error in the naming of the property owners'

association, the Long Defendants cannot show that it was anything other than an immaterial scrivener's error. Neither the Long Defendants nor the Attorney General has shown that the 2007 transfer was invalid, or that Mullins Bros. owns the property at issue.

Because Mullins Bros. has not owned the property since 2007, it is entitled to summary judgment in its favor on all claims against it.

II. ARGUMENT

A. Mullins Bros.' burden under Civ.R. 56(C)

The Long Defendants repeatedly cite *Dresher v. Burt*, 75 Ohio St.3d 280, 293, 662 N.E.2d 264 (1996) (plurality opinion), arguing that Mullins Bros. has not met its burden under Civ.R. 56(C) "to point to any evidence which affirmatively demonstrates that the Long Defendants have no evidence to support their claims." (Emphasis added.) (Long Memo at 4; *see also id.* at 5, 19, 26, 28, 34) They argue, in other words, that Mullins Bros. had to present evidence *that they have no evidence* to support their claims. This argument misconstrues both *Dresher* and Mullins Bros.' motion.

In moving for summary judgment, the defendant in *Dresher* argued that the plaintiffs had no evidence to prove their case. *Dresher* at 280, 283. The sole issue on appeal to the Supreme Court of Ohio involved "the standards for granting summary judgment *when the moving party asserts that the nonmoving party has no evidence* to establish an essential element of the nonmoving party's case." (Emphasis added.) *Id.* at 285. The Court held that when a defendant moves for summary judgment "on the ground that the nonmoving party cannot prove its case," it cannot simply make "a conclusory assertion that the nonmoving party has no evidence to prove its case." *Id.* at 293. "Rather, the moving party must be able to specifically point to some *evidence* of the type listed in Civ.R. 56(C) which affirmatively demonstrates that the nonmoving party has no evidence to support the nonmoving party's claims." (Emphasis sic.) *Id.*

Contrary to what the Long Defendants argue, *Dresher* does not stand for the proposition that a defendant moving for summary judgment must always present evidence proving a negative (i.e., that the plaintiff has no evidence). *Dresher* simply clarified that a defendant moving for summary judgment cannot rely solely on conclusory assertions and “must be able to point to evidentiary materials of the type listed in Civ.R. 56(C).” *Id.* at 292-293. The Long Defendants’ reliance on *Dresher*, therefore, is misplaced. Mullins Bros. did not simply assert that the Attorney General and the Long Defendants have no evidence to prove their cases. Mullins Bros. submitted substantial evidence under Civ.R. 56(C) showing that it is entitled to judgment as a matter of law.

B. The evidence shows that Mullins Bros. does not own the Dam

Mullins Bros.’ motion for summary judgment details the relevant facts and evidence concerning the ownership of the Dam. In short, Mullins Bros. purchased property including the Dam in March 2005 and that same month recorded a declaration establishing various restrictive covenants for property within the Phase VII development. (Mullins Aff. at ¶ 4, 7, Exhibit A-2) Relevant here is the restrictive covenant requiring property owners to become members of a nonprofit corporation that “shall have the sole and exclusive control of the lake located on the land of the Developer and shall be responsible for its care and maintenance.” (*Id.*) In April 2005, consistent with the declaration it had recorded a month earlier, Mullins Bros. formed a nonprofit corporation, which it named “The Landings Property Owners Association, Inc.” (*Id.* at ¶ 5, Exhibit A-1) Mullins Bros. recorded an identical declaration for the Phase VIII development in March 2007. (*Id.* at ¶ 8, Exhibit A-3)

In July 2007, Mullins Bros. transferred the property on which the Dam is located to the property owners’ association. (*Id.* at ¶ 9, Exhibit A-4) Mullins Bros. never intended to operate the property owners’ association. (*Id.* at ¶ 16) Indeed, the restrictive covenants define the membership of the property owners’ association as “the owners of all lots” and Mullins Bros. was no longer

eligible to be a member of the association once it sold its last lot. (*See id.* at ¶ 16, Exhibits A-2 & A-3 (Section 4(B)) Accordingly, by February 2008, Mullins Bros. had completely transitioned the management of the association to the property owners. (*Id.* at ¶ 16-21) The Landings Property Owners Association continued to function for several years—even after the Dam’s reclassification—with the property owners constituting its membership. (*See* Yough Dep. at 60-61:21-24, 61:9-12, Exhibit 31)

This evidence answers the dispositive question in this case: Mullins Bros. does not own the Dam and has not owned it during the relevant time period. Mullins Bros. is entitled to summary judgment in its favor on all the claims against it because the parties agree that Mullins Bros. transferred ownership of the Dam in 2007. (*See* Long Memo at 23; AG Memo at 8)

C. The Attorney General and the Long Defendants did not meet their reciprocal burden under Civ.R. 56(E)

Because Mullins Bros. met its initial burden, the Attorney General and the Long Defendants have a “reciprocal burden” under Civ.R. 56(E). *Dresher*, 75 Ohio St.3d at 293, 662 N.E.2d 264. The arguments and evidence they present fail to demonstrate any genuine issues of material fact.

1. The restrictive covenants are valid and enforceable

The Long Defendants’ main argument is that the restrictive covenants are invalid and unenforceable because they allegedly lacked “adequate” notice of the restrictions. (Long Memo at 4-13) The Long Defendants present several variations of this argument, but their core claim is that Mullins Bros. had to ensure that they had *actual knowledge* that they would be required to become members of the property owners’ association. That argument cannot be squared with longstanding Ohio law.

A restrictive covenant is enforceable if five conditions are met:

First, the restrictions must be a part of the general subdivision plan, applicable to all lots in the subdivision. Second, lot purchasers must be given adequate notice of the restriction. Third, the restrictions must be in accord with public policy, and they are unenforceable to the extent that they are not. Fourth, the restrictions cannot be implied, but must be express. Fifth, the restrictions must run with the land, and therefore must be inserted in the form of covenants in the owner's chain of title.

Lipchak v. Chevington Woods Civic Association, Inc., 5th Dist. Fairfield No. 14-CA-40, 2015-Ohio-263, ¶ 33. The Court must reject the Long Defendants' argument that the second condition was not satisfied, because Mullins Bros.' proper recording of the declarations constituted constructive notice that property owners would be required to become members of the property owner's association, which would be responsible for the dam. *See Collins v. Carpenter*, 5th Dist. Richland No. 02CA31, 2002-Ohio-5173, ¶ 19. Contrary to the Long Defendants' argument, *Lake Milton Estate Prop. Owners. Assn. v. Hufford*, 7th Dist. Mahoning No. 17 MA 0163, 2018-Ohio-4784, and *Lubow v. Haaf Farms Homeowner's Assn.*, 5th Dist. Fairfield No. 41T16-CA-39, 2017-Ohio-2973, 91 N.E.3d 61, do not lead to a different conclusion. (*See* Long Memo at 12) In *Lake Milton* and *Lubow*, unlike here, the relevant restrictive covenant was not in the property owners' chain of title. *See Lake Milton* at ¶ 20, 23; *Lubow* at ¶ 3, 11, 26.

The Long Defendants argue that Mullins Bros. should have done more to apprise them of the restrictive covenants. In fact, they argue that Mullins Bros. "had to notify all of the purchasers before they purchased their property that they were required to become a member of a non-profit corporation known as The Landings Property Owners Association, Inc." (Long Memo at 11) They suggest that Steve Mullins should have attended each closing, attached copies of the declarations to their deeds, or referred to the restrictive covenants in the deeds themselves. (*See id.* at 6-13) But they do not cite any law that supports their bald assertion that the constructive notice provided by the recorded instruments was inadequate.

The Long Defendants argue that Mullins Bros. “pins all of its hopes” on evidence showing that purchasers likely had actual knowledge of the restrictive covenants because they signed closing agreements that referred to deed restrictions. (Long Memo at 9; *see* Mullins MSJ at 4-5, 13) That is an inaccurate characterization of Mullins Bros.’ argument. The evidence shows the property owners likely had actual notice (in addition to constructive notice), but that evidence has never been necessary to Mullins Bros.’ case. There is no uncertainty here: The declarations were clearly stated and properly recorded, and the restrictions are in the chain of title of each of the Long Defendants. Under Ohio law, the recorded declarations put all the property owners on notice that they must become members of a property owners’ association and that the property owners’ association shall have exclusive control of and responsibility for the Lake and Dam.

2. The scrivener’s error is immaterial

Mullins Bros. presented evidence—which the Long Defendants do not rebut—showing that the mismatch between the name of the property owners’ association (The Landings Property Owners Association, Inc.) and the name referred to in the declarations (Landings Common Area Association, Inc.) was the result of an inadvertent error on the part of Mullins Bros.’ former attorney, Robert Rauzi. (*See* Rauzi Dep. at 13-15:4-15; 21: 6-13; 30:5-8; 77: 11-12; 93-94: 13-3; 97: 7-18) The Long Defendants provide no support for their assertion that Rauzi’s error was anything other than a minor mistake, but they argue that Mullins Bros. must show by clear and convincing evidence that the scrivener’s error was the result of a “mutual mistake.” (Long Memo at 13-19) That is, they contend that the mistake cannot be a scrivener’s error because they played no part in it.

The cases the Long Defendants cite in support of their argument do not apply here. The declarations containing the error are *unilateral* instruments executed by Mullins Bros. alone.

Mullins Bros. is not seeking to *reform* the declarations based on a mutual mistake. Rather, Mullins Bros. argued and has shown that Rauzi's error was inadvertent.

Indeed, the evidence shows that Rauzi's error was not just inadvertent; it also was immaterial to the instruments' essential purpose. A term is "material" if it is "significant" or "essential." *Black's Law Dictionary* (11th Ed. 2019). The evidence shows that the precise name of the property owners' association was not a material part of the restrictive covenants. The discrepancy in the names did not prevent the property owners from understanding that they would be required to become members of a property owners' association. Nor did it prevent them from understanding and complying with the terms of the restrictive covenant. The association carried out its essential purpose as "The Landings Property Owners Association" for many years, receiving dues from property owners and providing services as required under the declarations. (Mullins Aff., ¶ 13-15, Exhibits A-5, A-6) The situation here is much like the one in *Lipchak*, 2015-Ohio-263, ¶ 31-39, when a minor discrepancy in an entity's name did not affect the parties' ability to understand or carry out the terms of a restrictive covenant. The scrivener's error does not relieve the Long Defendants of their obligation to become members of a property owners' association that must maintain the Dam.

3. The transfer was valid

The Long Defendants argue that the 2007 transfer of the Dam from Mullins Bros. to the property owners' association is "null and void." (Long Memo at 19-25) Although their precise legal theory is not entirely clear, they argue that "Mullins IS The Landings Property Owners Association" because Mullins Bros. allegedly did not take steps necessary to form the entity. (Capitalization sic.) (*Id.* at 25)

The evidence simply does not support the argument that there was a complete failure to take steps to organize the entity after articles of incorporation were filed, or that the property

owners' association did not exist or function as an entity. After Mullins Bros. created the property owners' association, the Long Defendants began paying membership dues to the entity. (Mullins Aff., Exhibits A-5 and A-6) And after Mullins Bros. sold its last lot and was no longer a proper member of the entity under the terms of the restrictive covenant, it transferred control of the association's funds to the members. (*Id.* at ¶ 21, Exhibit A-7) The property owners continued to operate the association for years, even filing for tax-exempt status for the parcels at issue here. (Yough Dep. at 60-61:21-4, 61:9-18, Exhibit 31) The Long Defendants do not meaningfully address this evidence showing that the property owners' association was a functional entity—and that they were dues-paying and participating members.

The Attorney General similarly suggests that ownership of the Dam might “revert back” to Mullins Bros. if the Court finds that Mullins Bros. breached the restrictive covenants. (State Memo at 6, 18) But the Attorney General, too, fails to articulate a clear legal argument supporting that theory. Contrary to what the Attorney General suggests, even if the Court were to conclude that Mullins Bros. failed carry out some obligation under the restrictive covenants, that would not mean that the formation of the property owners' association or the transfer of property to that entity are a nullity.

4. The Long Defendants have no right to bring statutory claims

The Long Defendants argue that Mullins Bros. did not adequately address their allegations concerning compliance with the Water Pollution Control Act. (Long Memo at 27-28) But Mullins Bros. explained why the Long Defendants' statutory claims must be dismissed: The Water Pollution Control Act does not authorize a private cause of action and this Court lacks jurisdiction to prosecute any claim under federal law. The Long Defendants failed to address the fact that their claim must be dismissed as a matter of law.

*5. The indemnity and contribution claims fail because
Mullins Bros. has no liability*

The Long Defendants' claim for indemnity and contribution rests on the faulty premise that Mullins Bros. is liable as an owner of the Dam. As discussed, the evidence shows that Mullins Bros. cannot be held liable for costs associated with the Dam, and the Long Defendants have not shown that Mullins Bros. is responsible for any liability they might incur. The claim for indemnity and contribution fails as a matter of law for the reasons discussed above.

IV. CONCLUSION

Clear and undisputed evidence shows that Mullins Bros. does not own the Dam and that Mullins Bros. has not owned it since 2007. Mullins Bros. is entitled to summary judgment in its favor on all claims against it.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that a true and accurate copy of the foregoing was served upon the following via electronic or regular mail this 26th day of January, 2024.

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